

Notes forming part of the financial statements

**b) Fair value of share options granted**

The fair value of the stock options has been estimated using Black-Scholes model which takes into account as of grant date the exercise price and expected life of the option, the current market price of underlying stock and its expected volatility, expected dividends on stock and the risk free interest rate for the expected term of the option.

| Inputs into the model                            | Granted on 8 <sup>th</sup> November 2017-ESOP 2016 | Granted on 11 <sup>th</sup> April 2018-ESOP 2016 | Granted on 30 <sup>th</sup> October 2018-ESOP 2016 | Granted on 23 <sup>rd</sup> January 2019-ESOP 2016 |                   |                   |
|--------------------------------------------------|----------------------------------------------------|--------------------------------------------------|----------------------------------------------------|----------------------------------------------------|-------------------|-------------------|
| Share price (on the date previous to grant date) | 758.55                                             | 1,000.15                                         | 961.55                                             | 1,152.80                                           | 1,152.80          | 1,152.80          |
| Exercise price                                   | 1.00                                               | 1.00                                             | 1.00                                               | 1.00                                               | 1.00              | 1.00              |
| <b>Date of vesting (1)</b>                       | <b>08.11.2018</b>                                  | <b>11.04.2019</b>                                | <b>30.10.2019</b>                                  | <b>23.01.2022</b>                                  | <b>29.01.2021</b> | <b>01.02.2021</b> |
| Dividend yield (%)                               | 0.85                                               | 0.62                                             | 2.54                                               | 0.84                                               | 0.84              | 0.84              |
| Option life (no. of years)                       | 2.50                                               | 2.50                                             | 2.50                                               | 6.00                                               | 5.02              | 5.02              |
| Risk free interest rate (%)                      | 6.69                                               | 7.09                                             | 8.01                                               | 7.56                                               | 7.49              | 7.49              |
| Expected volatility (%)                          | 22.12                                              | 21.65                                            | 23.20                                              | 24.34                                              | 23.87             | 23.86             |
| <b>Date of vesting (2)</b>                       | <b>08.11.2019</b>                                  | <b>11.04.2020</b>                                | <b>30.10.2020</b>                                  | <b>23.01.2023</b>                                  | <b>29.01.2022</b> | <b>01.02.2022</b> |
| Dividend yield (%)                               | 0.91                                               | 0.66                                             | 3.62                                               | 0.84                                               | 0.84              | 0.84              |
| Option life (no. of years)                       | 3.50                                               | 3.50                                             | 3.50                                               | 7.00                                               | 6.02              | 6.03              |
| Risk free interest rate (%)                      | 6.64                                               | 7.28                                             | 8.02                                               | 7.58                                               | 7.56              | 7.56              |
| Expected volatility (%)                          | 24.01                                              | 23.59                                            | 23.24                                              | 24.37                                              | 24.32             | 24.30             |
| <b>Date of vesting (3)</b>                       | -                                                  | -                                                | <b>30.10.2021</b>                                  | <b>23.01.2024</b>                                  | -                 | -                 |
| Dividend yield (%)                               | -                                                  | -                                                | 4.82                                               | 0.84                                               | -                 | -                 |
| Option life (no. of years)                       | -                                                  | -                                                | 4.50                                               | 8.00                                               | -                 | -                 |
| Risk free interest rate (%)                      | -                                                  | -                                                | 8.15                                               | 7.65                                               | -                 | -                 |
| Expected volatility (%)                          | -                                                  | -                                                | 24.34                                              | 24.40                                              | -                 | -                 |

| Inputs into the model                            | Granted on 13 <sup>th</sup> May 2019-ESOP 2016 | Granted on 29 <sup>th</sup> January 2020-ESOP 2016 |                   | Granted on 05 <sup>th</sup> August 2020-ESOP 2016 |                   | Granted on 04 <sup>th</sup> November 2020-ESOP 2016 |                   |
|--------------------------------------------------|------------------------------------------------|----------------------------------------------------|-------------------|---------------------------------------------------|-------------------|-----------------------------------------------------|-------------------|
| Share price (on the date previous to grant date) | 1,154.45                                       | 1,461.60                                           | 1,461.60          | 1,461.60                                          | 1,342.80          | 1,342.80                                            | 1,565.60          |
| Exercise price                                   | 1.00                                           | 1.00                                               | 1.00              | 1.00                                              | 1.00              | 1.00                                                | 1.00              |
| <b>Date of vesting (1)</b>                       | <b>13.05.2020</b>                              | <b>31.01.2021</b>                                  | <b>18.11.2022</b> | <b>31.01.2021</b>                                 | <b>05.08.2022</b> | <b>05.08.2021</b>                                   | <b>04.11.2021</b> |
| Dividend yield (%)                               | 0.84                                           | 0.74                                               | 0.74              | 0.74                                              | 0.72              | 0.72                                                | 0.72              |
| Option life (no. of years)                       | 2.50                                           | 4.01                                               | 5.80              | 4.01                                              | 5.00              | 4.00                                                | 4.01              |
| Risk free interest rate (%)                      | 7.03                                           | 6.15                                               | 6.39              | 6.15                                              | 5.13              | 4.89                                                | 4.89              |
| Expected volatility (%)                          | 23.06                                          | 23.69                                              | 24.49             | 23.69                                             | 25.39             | 22.94                                               | 23.17             |
| <b>Date of vesting (2)</b>                       | -                                              | -                                                  | <b>18.11.2023</b> | <b>31.01.2022</b>                                 | <b>05.08.2023</b> | <b>05.08.2022</b>                                   | <b>04.11.2022</b> |
| Dividend yield (%)                               | -                                              | -                                                  | 0.74              | 0.74                                              | 0.72              | 0.72                                                | 0.72              |
| Option life (no. of years)                       | -                                              | -                                                  | 6.80              | 5.01                                              | 6.00              | 5.00                                                | 5.01              |
| Risk free interest rate (%)                      | -                                              | -                                                  | 6.43              | 6.39                                              | 5.62              | 5.13                                                | 5.13              |
| Expected volatility (%)                          | -                                              | -                                                  | 24.56             | 23.76                                             | 25.95             | 25.39                                               | 25.73             |
| <b>Date of vesting (3)</b>                       | -                                              | -                                                  | -                 | -                                                 | -                 | <b>05.08.2023</b>                                   | -                 |
| Dividend yield (%)                               | -                                              | -                                                  | -                 | -                                                 | -                 | 0.72                                                | -                 |
| Option life (no. of years)                       | -                                              | -                                                  | -                 | -                                                 | -                 | 6.00                                                | -                 |
| Risk free interest rate (%)                      | -                                              | -                                                  | -                 | -                                                 | -                 | 5.62                                                | -                 |
| Expected volatility (%)                          | -                                              | -                                                  | -                 | -                                                 | -                 | 25.95                                               | -                 |